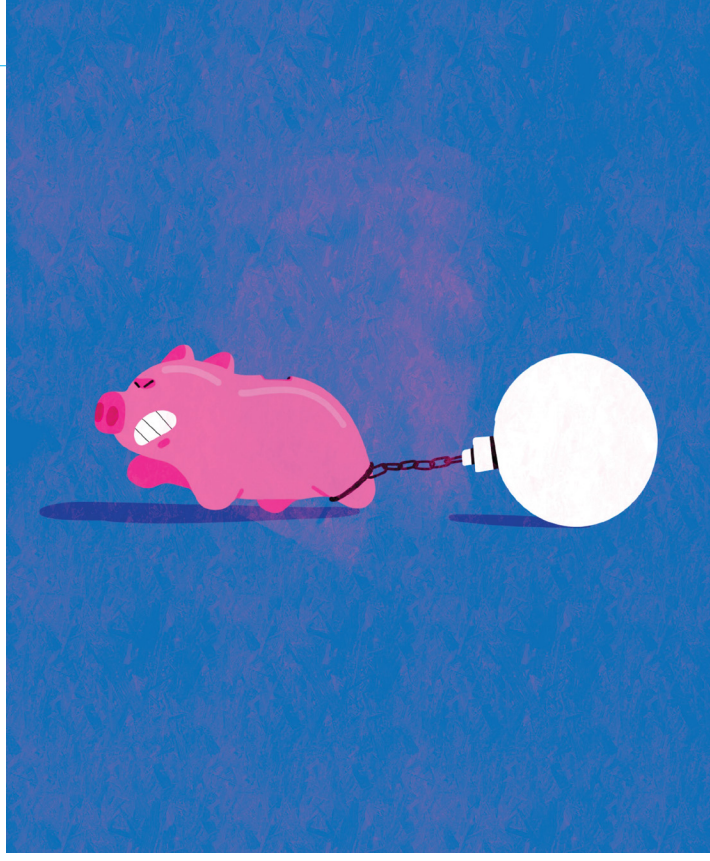
LOANS

Borrowing-related mistakes cost you more than you imagine. For instance, skipping an EMI or extending the loan tenure when the interest rates go up can put your finances in disorder



1. NOT CHECKING YOUR CREDIT SCORE

Borrowers are unaware of their credit scores when they apply for a loan. Often, loans are denied simply due to a poor credit score.

THE SOLUTION: Lenders typically look for a good credit score when reviewing a loan application, so it is advisable to make sure that you have a good credit score before you apply. You could check your credit easily and free of cost on credit bureaus or on lending platforms. Check your credit score at least once a year or 3-6 months before applying for a loan. If there are errors on your credit report, which are affecting the score, report and rectify the mistake. At no time ignore past unsettled loans.

2. REVOLVING CREDIT

It is tempting to pay the minimum balance, delay loan repayment or skip the repayment. These factors come at a cost on the borrowing as well as have an impact on your credit score, which could impact a loan you take in the future.

THE SOLUTION: Pay credit card dues in total and do not skip EMIs on loans. If you have trouble with repayment, speak to your lender to devise a revised payment structure. Work on a household budget with a clean loan repayment schedule to avoid revolving credit.

3. MAXIMUM BORROWING

Often, one borrows more than what they can comfortably repay or borrow a higher sum because it is available. Challenges crop up when you find it tough to repay the loan. Likewise, when you borrow more than you need, you tend to ignore the cost of the loan.

THE SOLUTION: Keep the combined loan repayment or the EMI amount to 30-35 per cent of your net income for comfortable repayment. When EMIs go up because of rising interest rates, you have the option to increase the loan tenure to reduce the impact of higher EMIs. Opt for this convenience only if you are finding it difficult to manage, because as you extend the loan tenure, you end up paying for a significant interest component over time.

WHEN YOU BORROW MORE THAN YOU NEED, YOU OVERLOOK THE FACT THAT THE LOAN COMES AT A REPAYMENT COST

When you borrow more than you need, you overlook the fact that the loan comes at a repayment cost. If your savings and investments do not earn more than the borrowing cost, you are being inefficient with your finances.

4. ASSUMING ALL LOANS TO BE ALIKE

Fundamentally, all loans are alike—you borrow money and pay interest on repayment over a fixed tenure as per the loan contract. But not all loans cost the same or come with benefits and advantages that could work in your favour.

THE SOLUTION: Loans could be secured like a home loan or unsecured like a credit card outstanding, and the interest rate and repayment structure of each of these loans are different. Make sure you understand the loan you are taking and how it works and impacts your repayment. Moreover, home and education loans provide tax incentives on repayment, which is not the case with personal loans or credit card repayment.

5. HIDDEN COSTS AND FEES

Not knowing the terms and conditions of the loans can cost you and even impact your credit score. Every loan has a different cost structure, penalties and charges applicable. It is important to be on top of the small print and facts associated with the loan.

THE SOLUTION: Do not take loans for granted. Charges applicable in case of delays, part payment or default are all clearly mentioned in the sanctioned loan document. Make sure you are aware of the costs associated in case of repayment delays and default. Likewise, there are costs associated if you pre-pay certain loans, something you could easily avoid. ■